

Quiz 1

Course: Principles of Economics

Course Code: ECO 201

Total points: 10

Weightage towards final grade: 10%

Date: 22/01/2026

Time: 6:10 PM - 6:30 PM

Name: _____ Roll No. _____

1. Circle the right answer. If the right answer is (A), write it as such (A)
 2. Right answer: 1 mark. No answer: 0 marks. Wrong answer: -0.2 marks.
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1. In a simple example with two participants, graphically, gains from trade is visible because people are able to

- (A) Produce above their PPF (B) Consume above their PPF
(C) Reduce production cost. (D) None of the above

Answer. (B). Some of you may have thought it is production, but production still happens on respective PPFs. Post production trade enables consumption above the PPF.

2. Formally, “Demand” for a good implies

- (A) Need for the good regardless of price (due to scarcity).
(B) Willingness to pay for the good for the given price
(C) Demand on its own is unrelated to price (D) None of the above.

Answer. (B) This is by definition.

3. We discussed a framework for linear demand and supply. Suppose a is the y-intercept for supply and c is the y-intercept for demand, and $a > c$. What implication does this have for equilibrium demand. Assume that demand and supply have their usual slope properties (not horizontal or vertical).

(A) Zero demand (B) Excess demand relative to supply.
(C) 0 supply. (D) Both (A) and (C)

Answer. The answer is (A). 0 supply is not an implication for equilibrium demand. This clarity is important. However, I will not negatively mark those who chose (D)

4. Typically, price elasticity of demand is

(A) Positive (B) Negative. (C) Negative for elastic & positive for inelastic good.
(D) Negative for inelastic good and positive for elastic good.

Answer. The answer is actually (B), but Mankiw does mention in some places that it is common practice to take the mod of the negative value. Hence, I will also accept (A).

5. Tax does have some justification, as it appropriates part of the surplus for investment in public goods, infrastructure etc. However, part of the potential surplus from trade is lost. This is known as **Deadweight loss**

6. Which of these does not cause a shift in the supply curve (generally).

(A) Change in price of inputs. (B) Change in technology (costs)
(C) Expectations in future cost of production (D) None of the above.

Answer. (D). All of them cause a change.

7. Elasticity is a percentage. True or False? False

8. Monopolists are likely to gain more from

(A) Inelastic demand. (B) Elastic demand. (C) Difficult to say.

Answer. (A). Producers benefit from demand that is in general inelastic. However, they do choose their price on the elastic position of the curve. That is a separate matter not discussed in class yet.

9. $q(p) = a^2 - (\sqrt{b})p$ is an example of

(A) Strictly convex demand. (B) Strictly concave demand.

(C) Linear demand (D) None of the above.

Answer. (C). Linear demand

10. In terms of income, do you think the demand for avocado toast is

(A) Elastic. (B) Inelastic. (C) Income elasticity has nothing to do with this.

Answer. (A). Elastic, as consumption is heavily linked to income in what is generally thought of as a luxury good.